

Complete Liquidation. Mohawk Mining Company supplies an excellent example of a cash profit equivalent to a large advance in market value caused by the actual liquidation of the enterprise.

In December 1931 the stock sold at \$11 per share, representing a total valuation of \$1,230,000 for the 112,000 shares outstanding. The balance sheet at the end of 1931 showed the following:

Cash and marketable securities at market	\$1,381,000
Receivables	9,000
Copper at market value, about	1,800,000
Supplies	71,000
	<u>\$3,261,000</u>
Less current liabilities	68,000
Net current assets	<u>\$3,193,000</u>
Fixed assets, less depreciation and depletion	2,460,000
Miscellaneous assets	168,000
Total assets for common stock	<u>\$5,821,000</u>
Book value per share*	\$52
Current-asset value per share*	28.50
Cash-asset value per share*	11.75
Market price per share	11

* After reducing securities and copper inventory to market value.

Shortly thereafter the management decided to liquidate the property. Within the years 1932–1934 regular and liquidating dividends were paid, aggregating \$28.50 per share. It will be noted that the amount actually received in liquidation proved identical with the current-asset value just before the liquidation began, and it was $2\frac{1}{2}$ times the ruling market price at that time.

Partial Liquidation. Northern Pipe Line Company and Otis Company, already discussed, are examples of the establishment of a higher market value through partial liquidation. The two companies made the exhibits as shown in the table following.

In September 1929 Otis Company paid a special dividend of \$4 per share, and in 1930 it made a distribution of \$20 in partial liquidation, reducing the par value from \$100 to \$80. In April 1931 the shares sold at 45 and in April 1932 at 41. These prices were higher than the quotation in June 1929, despite the distributions of \$24 per share made in the